mutual funds (*i.e.*, series of trusts registered on Form N-1A) had average total net assets of $25 trillion and 33,785 authorized share classes.[710] The 2,100 ETFs (*i.e.*, series, or classes of series, of trusts registered on Form N-1A) had average total net assets of $3.2 trillion as of March 2020.

Funds may invest in other funds under section 12(d)(1) of the Act and the rules thereunder.[711] We estimate that approximately 30% of funds invest in such acquired funds.[712] Most acquiring funds invest 10% or less of their total assets in acquired funds (excluding money market funds).[713] For funds with more than 10% of their total assets in acquired funds, the majority invest more than 20% of their total assets in the acquired funds. We estimate that approximately 32% of funds that invest in acquired funds invest more than 10% of their total assets in acquired funds, and that approximately 28% invest more than 20% of their total assets in acquired funds. Thus, a large share (88%) of the funds with more than 10% invested have more than 20% of their total assets invested in acquired funds.[714]

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710 The estimate of the number of authorized share classes is based on responses to Form N-CEN, Item C.2.a., and includes non-ETF share classes of multi-class ETFs.

711 15 U.S.C. 80a-12(d)(1); *see also* 17 CFR 270.12d1-1 through 12d1-3.

712 *See* Fund of Funds Proposing Release, *supra* footnote 608, at paragraph accompanying n.242.

713 This analysis excludes money market fund holdings from acquired fund investments because the proposed amendments to prospectus AFFE disclosure exclude money market fund holdings from the calculation of a fund's investments in acquired funds. Thus, for purposes of this discussion, an "acquired fund" does not include a money market fund. *See also supra* footnote 619. The estimates of acquired fund holdings are based on staff's analysis of Form N-PORT filings received through early June 2020.

714 0.28 = 0.32 x 0.88. We further estimate that approximately 4% of acquiring funds invest between 10% and 20% of their total assets in acquired funds (0.04=0.32-0.28).

The scope of the proposed advertising rule amendments is broader than that of the other elements of the proposal. The advertising rule amendments would apply to other registered investment companies and to BDCs, in addition to mutual funds and ETFs. As of March 2020, there were 1,388 other registered investment companies, including 665 registered closed-end funds, 14 funds that could file registration statements or amendments to registration statements on Form N-3, and 709 UITs.[715] As of March 2020, there were 87 BDCs with $139 billion in total assets.[716]

The proposal would also affect financial intermediaries and other third parties that are involved in the distribution and use of the prospectus and shareholder reports, such as broker-dealers and third-party information providers. We understand that most fund investors are not direct shareholders of record, but instead engage an investment professional and hold their fund investments as beneficial owners through accounts with intermediaries such as broker-dealers.[717] As a result, intermediaries commonly distribute fund materials to beneficial owners, including shareholder reports and annual prospectus updates. In the case of broker-

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715 We estimate that all registered investment companies would be affected by the advertising rule amendments. Based on staff analysis of Form N-CEN filings received through March 2020, this includes all mutual funds and ETFs; 665 closed-end funds registered on Form N-2, with average total net assets of $335 billion; 14 variable annuity separate accounts registered as management investment companies on Form N-3, with total assets of $234 billion; and 709 UITs, with total assets of $2.0 trillion (including 5 ETFs that are registered as UITs with total assets of $338 billion).

716 To estimate the number of BDCs, we use data from Form 10-K and Form 10-Q filings from the first quarter of 2020. Our estimates exclude BDCs that may be delinquent, wholly owned subsidiaries of other BDCs, and BDCs in master-feeder structures.

717 By one estimate, approximately 75% of accounts are held through brokers and other intermediaries, excluding positions held in employer-sponsored plans. *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at n.275.

dealers, self-regulatory organization ("SRO") rules provide that broker-dealer member firms are required to distribute annual reports, as well as "interim reports," to beneficial owners on behalf of issuers, so long as an issuer (*i.e.*, the fund) provides satisfactory assurance that the broker-dealer will be reimbursed for expenses (as defined in SRO rules) incurred by the broker-dealer for distributing the materials.[718] Based on information reported on Form BD, we estimate that 2,016 broker-dealers sell registered investment companies' shares and may deliver prospectuses or shareholder reports that would be affected by the proposal.

2. Fund Prospectuses

The prospectus is the main selling document of the fund and is designed to provide forward-looking information and certain historical information to new shareholders and prospective shareholders with no existing investment in the fund. Funds deliver a prospectus to new shareholders in connection with the initial purchase, and prospectuses are designed to inform investment decisions and help investors compare funds. Funds typically update their prospectuses annually within 120 days of fiscal year-end.[719] Funds also may supplement or "sticker" their prospectuses to update the disclosure at other times during the year when material or other changes occur.[720]

Funds (or intermediaries) are generally required to deliver a fund prospectus to an investor in connection with a purchase of fund shares. Rule 498 enables funds to deliver the

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[718] *See* NYSE rule 465(2); NYSE rules 451(a)(1) and (2); FINRA rule 2251(e)(1)(C); FINRA rule 2251.01.

[719] *See supra* footnote 20 and accompanying text.

[720] *See supra* footnote 13 and accompanying text.

summary prospectus rather than the statutory prospectus if they meet certain conditions.[721] We estimate that 93 percent of funds deliver a summary prospectus in reliance on rule 498, and the remaining seven percent of funds deliver the statutory prospectus. According to one academic study, the average summary prospectus is 6.77 pages.[722] Based on a review of fund websites, the staff has found similar page lengths in summary prospectuses. In a sample from 2020, for example, the staff found that summary prospectus page lengths varied around an average of 8 pages at the mean and median, and that summary prospectuses were shorter than statutory prospectuses, which varied in length around a mean of 128 pages and median of 75 pages. We estimate that currently the average summary prospectus length is 8 pages and the average statutory prospectus length is 128 pages.

In addition to sending prospectuses to new investors, funds typically send an annual prospectus update to ongoing shareholders each year, and may deliver prospectus stickers to shareholders to update the disclosure at other times.[723] The form (*i.e.*, summary prospectus or statutory prospectus) and length of the annual prospectus update a fund delivers to ongoing shareholders is the same as that of the prospectus it delivers to new investors. The annual prospectus update provides continuing shareholders with access to information about material

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721 Rule 498 has been in place since 2009. Funds delivered the statutory prospectus to all investors before that time.

722 *See* Anne M. Tucker & Yusen Xia, *Investing in the Dark: Investment Company Disclosure Qualities, Content & Compliance* (SSRN, Sept. 1, 2019) ("Tucker and Xia"), *available at* https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3436952 (estimating that, in 2018, the summary prospectus was 6.77 pages, based on estimated page number lengths from mean and median counts by year).

723 *See supra* footnote 11 and accompanying text.

fund changes, such as in the fund's fees or principal investment strategy.[724] The disclosure format of the prospectus, however, does not highlight or explain the material changes. We estimate that funds, on average, deliver one annual prospectus update each year and one prospectus sticker every other year to disclose material changes to the fund.[725] Funds also are required to file their prospectuses on EDGAR. In addition, funds often provide their prospectuses on their websites. The extent to which funds currently publish prospectuses to their public websites is influenced by Commission rules. If a fund delivers a summary prospectus under rule 498 (which an estimated 93 percent of funds do), then its summary and statutory prospectuses and its SAI must be available on the website identified at the beginning of the summary prospectus.[726] As for the SAI, in addition to its typical availability online, funds must file it on EDGAR. Funds generally do not deliver SAIs to investors (although a fund must deliver it to an investor on request).

Among other things, prospectuses include information about a fund's investment objective, principal investment strategy, fees and expenses, principal risks, performance, investment adviser, and portfolio managers. Funds must provide certain of this information—

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[724] Funds are required to update the prospectus at or before the time their financials are 16 months old under section 10(a)(3) of the Securities Act. In addition, Investment Company Act rule 8b-16(a) requires funds to amend their Investment Company Act registration statements within 120 days after the close of each fiscal year.

[725] This estimate is based on the average number of summary prospectuses funds filed in 2018 and 2019, excluding multiple summary prospectuses filed on the same day and adjusted to recognize that funds may not deliver prospectus stickers to notify shareholders of certain changes. *See, e.g.*, ICI Comment Letter II; Fidelity Comment Letter. This estimate is an average, and funds may deliver more or fewer prospectus-related disclosures to shareholders in a given year.

[726] *See supra* footnote 12.

including investment objectives, fees and expenses, principal investment strategies, principal risks, and performance—in a structured data format.[727] With respect to principal risk disclosure in particular, the length of this disclosure has been growing over time, and funds sometimes order their risks alphabetically instead of by importance. One academic study found that fund risk disclosure in the summary prospectus had nearly doubled in length between 2010 and 2018.[728] Based on staff analysis, the median number of principal risks listed in fund prospectuses grew from 11 in 2016 to 13 in 2018, and almost half of the principal risk disclosures generally were in alphabetical order.[729]

Funds disclose their fees and expenses in the prospectus fee table. Some fees and expenses are directly attributed to the fund's operations, while others are indirect. For example, some fees and expenses are attributable to the fund only through its investments in other funds). These indirect fund expenses generally appear in a separate AFFE line item in the fee table.[730] Currently, regardless of the size of a fund's investments in the acquired funds, AFFE is a component of the line items that, summed together, produce the fund's bottom-line annual fund operating expenses in its fee table. Differences in the operating expense disclosures of different funds may thus reflect differences in their operations or differences in the operations of their acquired funds.

3. Fund Shareholder Reports

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727 *See* General Instruction C.3(g) of current Form N-1A.

728 *See* Tucker and Xia, *supra* footnote 722, at 27 and 28.

729 These figures are based on staff analysis of a sample of 485BPOS, 485APOS, and 497 filings on EDGAR in XBRL format. Analysis of whether funds tend to list principal risks in alphabetical order is based on normalized inversion counts. We recognize that the length and the ordering of risks varies across funds. The average number of principal risks for funds in this sample is 12.7 in 2016 and 13.9 in 2018.

730 *See supra* Section II.H.1.g.

Funds provide information about their past operations and activities to investors through periodic shareholder reports. Funds send shareholder reports to ongoing shareholders twice-annually. Thus, shareholders receive both a semi-annual and an annual report from the fund. Shareholder reports provide backward-looking information about a fund's performance (in the case of an annual report), expenses, holdings, and other matters (*e.g.*, statements about the fund's liquidity management program, the basis for approval of an investment advisory contract, and the availability of additional information about the fund). These reports also include financial statements, which include audited financials in the annual report. Shareholder reports can be quite long. The average length of a shareholder report exceeds 100 pages. Based on staff analysis of shareholder reports available on fund websites, we estimate that the average annual report length is 134 pages and the average semi-annual report length is 116 pages, or 86% of the average length of a fund's annual report.[731] The length and complexity of these materials can make them difficult for some shareholders to use and understand.

Funds must deliver the shareholder reports to shareholders. Funds also must file the shareholder reports on EDGAR on Form N-CSR. In addition, funds often provide their shareholder reports on their websites. The extent to which funds currently publish shareholder reports on public websites is influenced by Commission rules. All funds that rely on rule 498 to deliver summary prospectuses are required to make their shareholder reports available

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[731] According to one estimate, the annual report was 114 pages long on average in 2016. *See* Comment Letter of Investment Company Institute (Mar. 14, 2016) on File No. S7-08-15, at n.49, *available at* https://www.sec.gov/comments/s7-08-15/s70815-581.pdf.

online at the website address identified at the beginning of the summary prospectus; as a result, we estimate that at least 93% of funds currently provide their shareholder reports on websites.[732] Form N-CSR filings include information other than shareholder reports. This information is filed on EDGAR but is not required to be delivered or otherwise available online.

4. Delivery of Fund Prospectuses and Shareholder Reports

Under Commission rules and guidance, delivery of fund prospectuses and shareholder reports occurs by paper or email, depending on the investor's expressed preference. The Commission has provided guidance permitting electronic delivery of required disclosure materials under certain circumstances.[733] Under this guidance, funds can transmit shareholder reports, prospectuses, or other materials electronically in lieu of paper delivery if they satisfy certain conditions relating to investor notice, access, and evidence of delivery. Funds (or intermediaries) relying on this guidance typically obtain an investor's informed consent to electronic delivery to satisfy the "evidence of delivery" condition. Fund investors that have elected electronic delivery typically receive an email that contains a link to where the materials are available online. The proportion of shareholders who elect to receive fund

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[732] In addition, a fund relying on rule 30e-3 would be required to make its shareholder reports publicly accessible on a website. In the case of rule 30e-3, the shareholder report must be available at the website address specified in the notice the fund would send to shareholders under the rule. Funds that rely on rule 30e-3 would also be required to make their complete portfolio holdings for each quarter available online. To the extent that any funds not currently relying on rule 498 to deliver summary prospectuses start to rely on rule 30e-3 beginning as early as January 1, 2021, the number of funds providing their shareholder reports on websites would be greater than 93%.

[733] *See supra* footnote 21.

disclosure by email varies among funds. By one estimate, the average enrollment rate for electronic delivery is 19.35% for direct-held positions (*i.e.*, shares purchased directly through an account with the fund) and 55% for beneficial positions (*i.e.*, shares purchased through an account with an intermediary).[734]

With respect to shareholder reports, there is also an alternative means of delivery. On June 5, 2018, the Commission adopted rule 30e-3 to provide an optional method for satisfying obligations to transmit shareholder reports by making them accessible online. Starting in 2021, under rule 30e-3, fund shareholders who would otherwise receive shareholder reports in paper may instead receive a short paper notice that a semi-annual or annual report is available online. Rule 30e-3 does not modify the delivery method for shareholders who request to receive reports in paper or elect to receive reports electronically.[735] Funds that intend to rely on rule 30e-3 before 2022 must provide notice to shareholders in their prospectuses and shareholder reports. Under rule 30e-3, what shareholders see when they access the report does not vary in substance or length according to whether they view the report online or request a paper copy of the report.[736] Yet delivery of the report tends to be less costly for funds that choose to rely on rule 30e-3 than funds that do not choose to rely on rule 30e-3 because

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[734] *See* Putnam Comment Letter.

[735] Rule 30e-3 requires the fund to deliver shareholder reports in paper to those shareholders who expressly opt in to paper delivery. For funds that rely on rule 30e-3, other shareholders who have not consented to electronic delivery would receive a link to the shareholder report in a paper notice from the fund.

[736] *See supra* Section III.B.3.

printing and mailing costs are lower for a short paper notice as opposed to a full-length report.[737]

We estimate that 86 percent of funds registered on Form N-1A plan to rely on rule 30e-3 before 2022.[738] We understand that the number could increase or decrease over time, depending on fund and investor experience with the new practice. The Commission previously estimated aggregated costs of $11 million during the transition period for funds to add statements to their shareholder reports and prospectuses notifying shareholders of the fund's intent to rely on rule 30e-3. This includes costs of approximately $7.1 million in the first year and approximately $4.3 million in the second year.[739] In addition, funds may have incurred costs in anticipation of relying on rule 30e-3 that include costs of tracking how many investors request continued delivery by paper mail under rule 30e-3. This is because rule 30e-3 allows shareholders to elect—at any time—to receive all future reports in paper, or request particular reports in paper on an *ad hoc* basis.

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[737] Shareholders of funds that rely on rule 30e-3 may request paper copies of the full report, which may reduce the cost savings associated with rule 30e-3 if many shareholders make these requests. We previously estimated that registered investment companies relying on rule 30e-3 would incur approximately $70.6 million per year to print and mail notices and approximately $5.7 million per year to print and mail shareholder reports upon request. *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at nn.414 and 415 and accompanying text.

[738] Our estimate reflects the percent of open-end funds registered on Form N-1A that included a statement notifying investors of their intent to rely on rule 30e-3 in annual or semi-annual reports filed on Form N-CSR in 2019. The estimate excludes any funds that may plan to rely on rule 30e-3 after the rule's extended transition period ends on January 1, 2022 and, thus, are not required to provide this notice to investors. In a June 2019 survey, ICI found that 97 percent of member funds responding to the survey planned to rely on rule 30e-3. *See* ICI Comment Letter II.

[739] *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at nn.419 and 420 and accompanying text (estimating costs of $7,144,872 associated with amendments to rule 498 and Form N-1A in the first year and costs of $4,286,980 associated with amendments to rule 498 and Form N-1A in the second year).